

4. Sovereign Gold Bonds (SGBs)

Sovereign Gold Bonds (SGB) are basically bonds issued by the government through the RBI. They are a different way to invest in gold. Here's how they work:

Measured in Grams

SGBs are measured in grams, 1 unit of SGB is 1 gram of gold.

Interest & Capital Appreciation

The returns you get from SGBs are a mix of interest and capital appreciation. You get a fixed interest rate of 2.5% on the initial investment every year, on top of any change in the gold's value.

Semi-Annual Interest Payment

Interest payments are paid out every six months.

Tax Benefit

If held till maturity, the capital gains on it are tax free only the interest portion is taxable as per your tax slab.

Eight Year Term

The bonds have an eight-year term, and that's when you get your money back. They however come with lockin period of 5 years after which you can prematurely redeem them, the maturity of these bonds is 8 years. You can sell them on stock market even before 5 years but the liquidity is low.

How can you invest in these? SGBs are issued by the RBI in chunks throughout the year. You can invest in them through banks, brokers, post offices, and online platforms. If you buy them online, you can get a discount of INR 50 per gram.